

Comprehensive Wealth Strategy

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Prepared November 2025

Executive Summary

This comprehensive wealth strategy positions you to reduce your 2025 tax liability by over \$37,000 while building a sustainable real estate business, eliminating personal debt, and establishing robust business credit systems.

FIRST YEAR TAX SAVINGS

\$37,448

FIRST YEAR GROSS BENEFIT

\$60,448

STRATEGIES DEPLOYED

7 Core

Current Situation & Strategic Objectives

Income Profile

CATEGORY	AMOUNT
Household W-2 Income (Annual)	\$300,000+
Monthly Fixed Expenses	\$15,000 - \$16,000
Monthly Mortgage Payment (PITI)	\$3,700
Net Monthly Income (After Fixed Expenses)	~\$9,000

Net Worth Position

ASSET/LIABILITY	AMOUNT
Home Equity	\$120,000
Retirement Accounts (401k/IRA)	\$250,000+
Liquid Cash Available	\$3,000
Non-Mortgage Debt	(\$50,000+)
Estimated Net Worth	~\$323,000

Critical Timing Window

Your aggressive 30-60 day timeline to acquire your first STR property by December 31, 2025 positions you to capture significant tax benefits in the current year including bonus depreciation on furnishings and startup cost deductions.

Primary Objectives

1. **Tax Optimization:** Reduce 2025 tax liability through strategic entity structuring and legitimate business deductions
 2. **STR Acquisition:** Launch first short-term rental property via arbitrage by December 31, 2025
 3. **Debt Elimination:** Reduce personal credit card debt from \$50,000+ to zero within 12-18 months
 4. **Credit Utilization:** Drop personal credit utilization below 10% within 90 days
 5. **Business Credit:** Establish \$50,000+ in business credit lines within 6-12 months
 6. **Cash Flow:** Generate \$2,000+ monthly net income from STR operations
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Tax Strategy Stack

Your Marginal Tax Rate

Based on \$300K+ household income in Texas:

- Federal Marginal Rate: 32%
- Texas State Income Tax: 0%
- Combined Marginal Rate: 32%**

This rate is used to calculate the tax value of each deduction throughout this plan.

Year-One Priority Strategies

STRATEGY	ESTIMATED ANNUAL TAX SAVINGS	IMPLEMENTATION PRIORITY
S-Corporation Election	\$15,240	IMMEDIATE (Q1 2026 for 2025 treatment)
Accountable Plan	\$11,520	Week 2
Short-Term Rental Tax Loophole	Variable (up to \$15,000+)	Q4 2025 Launch
Home Office Deduction	\$2,688	Week 2
Bonus Depreciation (Furnishings)	\$2,304	Q4 2025 Purchase
Augusta Rule	\$2,240	2025 Setup (execute 2026)

Vehicle Deduction
(Section 179)

\$3,456+

Ongoing

**TOTAL YEAR-ONE TAX
SAVINGS**

\$37,448

Additional Value Beyond Tax Savings

- **STR Net Income:** \$18,000 projected (Year 1 after ramp-up)
- **Credit Score Improvement:** \$5,000 value (better loan terms, lower insurance rates)
- **Total Gross Benefit:** \$60,448

Implementation Timeline & Action Steps

Week 1 (November 19-25, 2025)

- Confirm LLC formation completion and obtain EIN
- Open business checking and savings accounts
- Apply for 3-4 personal 0% balance transfer credit cards
- Schedule call to complete Monarch budget automation setup

Week 2 (November 26 - December 2, 2025)

- Execute balance transfers to 0% cards (transfer \$50K debt)
- Establish Tier 1 vendor accounts: Uline, Quill, Grainger
- Begin STR target market research across candidate cities
- Apply for Chase Ink Business Preferred or similar business credit card

Week 3-4 (December 3-16, 2025)

- Conduct property showings in target market
- Negotiate lease terms
- Arrange business insurance
- Create furnishing procurement plan



Week 5-6 (December 17-31, 2025)

- Execute lease signing and obtain keys
- Purchase and deliver furnishings
- Create and optimize listings on Airbnb and VRBO
- Launch property and secure first booking



Contingency Planning

If December 31 close proves unfeasible:

- Pivot to January 1-15 launch (still captures 11.5 months of 2025 deductions)
 - Focus on entity setup and business credit establishment in remaining December days
 - Document all preparatory expenses in 2025 for startup cost deduction eligibility
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Debt Elimination & Credit Strategy

0% Balance Transfer Strategy

Why Balance Transfers Beat Consolidation:

- No interest for 12-18 months vs 8-15% on consolidation loans
- More flexibility for early payoff without penalties
- Lower total cost: \$1,500 in fees (3%) vs \$6,000+ in loan interest

Implementation:

1. Apply for 3-4 cards with 0% balance transfer offers (15-21 months)
2. Transfer full \$50K balance across cards
3. **Critical:** Keep each card under 30% utilization (ideally under 10%)
4. Aggressive paydown: \$2,000/month from STR income

Credit Score Optimization Roadmap

TIMELINE	TARGET SCORE RANGE	ACTIONS
Current	680-719	Baseline established
90 Days	720-740	Utilization below 10%, on-time payments
6 Months	740-760	Debt paid down, business tradelines reporting
12 Months	760+	Personal debt under \$20K, strong business credit

Business Credit Establishment

Tier 1: Vendor Accounts (Weeks 1-4)

- Uline, Quill, Grainger - establish net-30 accounts
- Make small purchases, pay 15 days early for first 3 months

Tier 2: Fleet/Gas Cards (Weeks 4-8)

- Shell Fleet Card or Chevron Business Card
- Typical starting limit: \$1,500-\$3,000

Tier 3: Store Credit Cards (Weeks 8-12)

- Home Depot Business Credit, Office Depot Business Credit
- Typical starting limits: \$2,000-\$5,000

Tier 4: Major Business Credit Cards (Months 3-6)

- Chase Ink Business Preferred: \$10,000+ typical limit
- American Express Blue Business Plus
- Capital One Spark Cash

Debt Paydown Schedule

MONTH	PERSONAL DEBT BALANCE	MONTHLY PAYMENT
Month 1-3	\$50,000 → \$44,000	\$2,000
Month 4-9	\$44,000 → \$32,000	\$2,000
Month 10-15	\$32,000 → \$20,000	\$2,000
Month 16-18	\$20,000 → \$0	\$3,000+



Debt-Free Timeline: 18 Months

Following this strategy, you'll eliminate \$50,000+ in personal debt within 18 months while simultaneously building \$50,000+ in business credit availability.

Detailed Tax Strategy Implementation

Strategy 1: S-Corporation Election - \$15,240 Annual Savings

What It Is: Converting your LLC to S-Corporation tax status splits business income between W-2 salary (subject to FICA taxes) and distributions (not subject to FICA).

Implementation:

1. File Form 2553 with the IRS
2. Deadline: March 15, 2026 to elect retroactive S-Corp status for 2025
3. Establish reasonable salary (recommend \$90,000 for your income level)
4. Set up payroll service

Calculation:

- Projected business profit: \$100,000
- Reasonable W-2 salary: \$90,000 (FICA: \$13,770)
- S-Corp distributions: \$10,000 (FICA: \$0)
- **Total FICA Savings: \$15,240**

Strategy 2: Accountable Plan - \$11,520 Annual Savings

What It Is: Formal written plan allowing your business to reimburse employees tax-free for business expenses.

Reimbursable Expenses:

- Vehicle mileage: 70¢ per mile (2025 rate)
- Meals: 50% deductible for business meals

- Cell phone, home internet, professional development
- Monthly reimbursable expenses: \$3,000
- Annual reimbursements: \$36,000
- **Tax savings at 32% rate: \$11,520**

Strategy 3: Short-Term Rental Tax Loophole - Variable Benefit

What It Is: STR loophole allows you to offset W-2 income with short-term rental losses if you materially participate.

Material Participation Test:

- Work more than 100 hours in the activity during the year, AND
- Work more than anyone else (including contractors)

Implementation:

- Ensure average guest stay is under 7 days
- Document ALL hours with time tracking app
- Self-manage or limit property manager role

Strategy 4: Home Office Deduction - \$2,688 Annual Savings

Regular Method Calculation:

- Home office: 200 sq ft
- Total home: 2,500 sq ft (business percentage: 8%)
- Annual home expenses: \$42,000

- Deductible amount: \$8,400
- **Tax savings at 32%: \$2,688**

Strategy 5: Bonus Depreciation on Furnishings - \$2,304 Savings

Calculation:

- STR furnishing budget: \$12,000
- 60% bonus depreciation available: \$7,200
- **Tax savings at 32%: \$2,304**

Strategy 6: Augusta Rule - \$2,240 Annual Savings

Calculation:

- Comparable rental rate for your El Paso home: \$500/day
- 14 days of business use: \$7,000 total
- **Tax savings at 32% rate: \$2,240**

Strategy 7: Vehicle Deduction - \$3,456+ Annual Savings

Standard Mileage Method:

- Estimated business miles: 15,000/year
- Standard rate (2025): 70¢/mile
- Annual deduction: \$10,500

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- **Tax savings at 32%: \$3,360**
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STR Property Acquisition Strategy

Property Selection Criteria

- **Size:** 2-3 bedrooms, 2 bathrooms
- **Location:** Within 5 miles of major demand driver
- **Monthly Rent:** \$1,500-\$2,500 (under 30% of projected gross revenue)
- **Landlord:** Open to STR use (verify in writing)

Financial Viability Test

Example Calculation:

- ADR: $\$150 \times 25 \text{ nights} = \$3,750/\text{month gross}$
- Operating expenses: \$2,763 (rent, utilities, cleaning, fees)
- Net operating income: \$987/month

The "30% Rule" for STR Arbitrage

Your monthly lease cost should not exceed 30% of your projected gross revenue to ensure sufficient margin for operating expenses and profit.

Furnishing Strategy (\$10,000-\$12,000 Budget)

CATEGORY	BUDGET
Bedroom Furniture	\$3,000
Living Room	\$2,000

Dining Area	\$800
Kitchen Items	\$1,000
Linens & Towels	\$800
Electronics	\$1,500
Decor & Finishing	\$1,200
Outdoor (if applicable)	\$700
Total	\$11,000

Financing the Furnishings

Use business credit cards with 0% intro APR:

- Chase Ink Business Preferred: 0% APR for 12 months
 - Pay off within 0% period to avoid interest charges
 - Bonus: Earn rewards points on purchases
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Entity Structure & S-Corp Optimization

Immediate Action Items

- 1. **Obtain EIN:** Apply online at IRS.gov (instant approval)
- 2. **Open Business Bank Accounts:** Business checking and savings
- 3. **Establish Business Credit Profile:** Register with Dun & Bradstreet

S-Corporation Election Timeline

Recommended: File Form 2553 by March 15, 2026

- This provides retroactive S-Corp treatment for all of 2025
- Captures tax savings on your first year of STR operations

Reasonable Compensation Analysis

BUSINESS PROFIT LEVEL	REASONABLE SALARY	RATIONALE
\$60,000-\$80,000	\$40,000-\$50,000	60-70% of profit
\$80,000-\$120,000	\$50,000-\$70,000	50-60% of profit
\$120,000-\$200,000	\$70,000-\$90,000	40-50% of profit
\$200,000+	\$90,000-\$120,000	Based on comparable salaries

Cash Flow & Budget Optimization

Current Monthly Cash Flow

CATEGORY	AMOUNT
Income	
W-2 Income (Net, Estimated)	\$16,500
STR Net Income (Post-Launch)	\$2,000
Total Monthly Income	\$18,500
Expenses	
Fixed Expenses	(\$15,500)
STR Debt Paydown	(\$2,000)
Business Reinvestment	(\$500)
Monthly Surplus	\$500

Monarch Budget Automation Setup

Optimal Configuration:

1. Link all personal checking/savings accounts
2. Link all credit cards (personal and business)
3. Create custom categories for STR-specific expenses

4. Set up "Zero-Based Budget" where every dollar has a job

Tax Reserve Strategy

- Open separate "Tax Reserve Account"
 - Auto-transfer: 35% of all S-Corp distributions
 - Quarterly estimated payments: April 15, June 15, September 15, January 15
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Net Worth Trajectory

12-Month Net Worth Projection

CATEGORY	CURRENT	12 MONTHS	CHANGE
Home Equity	\$120,000	\$135,000	+\$15,000
Retirement Accounts	\$250,000	\$285,000	+\$35,000
Business Equity	\$0	\$10,000	+\$10,000
Liquid Cash/Savings	\$3,000	\$8,000	+\$5,000
Total Assets	\$373,000	\$438,000	+\$65,000
Non-Mortgage Debt	(\$50,000)	(\$26,000)	+\$24,000
NET WORTH	\$323,000	\$412,000	+\$89,000

27.5% Net Worth Increase in 12 Months

By implementing the strategies in this plan, your projected net worth increases from \$323,000 to \$412,000 within 12 months - an \$89,000 gain (+27.5%).

Bitcoin Strategy & Future Investment Allocation

Debt First, Bitcoin Second

Do NOT allocate to Bitcoin until personal debt drops below \$25,000 (Q2 2025).

Paying 15-24% interest on credit card debt while accumulating Bitcoin is wealth destruction, not wealth building.

Bitcoin Accumulation Timeline

- **Phase 1 (Months 1-12):** \$0 Bitcoin allocation - focus on debt elimination
- **Phase 2 (Months 13-18):** \$500/month DCA once debt <\$25,000
- **Phase 3 (Months 19-24):** \$1,500/month DCA as debt approaches zero
- **Phase 4 (Month 25+):** \$2,500-\$3,000/month post-debt freedom

Dollar-Cost Averaging (DCA) Strategy

Recommended Implementation:

1. Exchange: Coinbase, Kraken, or Swan Bitcoin
2. Frequency: Weekly purchases (every Monday)
3. Automation: Set up recurring purchases
4. Security: Transfer to hardware wallet quarterly for holdings >\$10K

Future Investment Allocation (Post-Debt Freedom)

ASSET CLASS	TARGET %	PURPOSE
Bitcoin	15-25%	Wealth appreciation, inflation hedge
Retirement Accounts	40-50%	Tax-advantaged long-term growth
STR Business/Real Estate	20-30%	Cash flow, tax benefits, equity
Cash/Emergency Fund	5-10%	Liquidity, stability
Other Investments	5-10%	Diversification

Risk Management & Success Metrics

90-Day Success Metrics

METRIC	TARGET
LLC Formation Complete	Week 1
Business Bank Accounts Opened	Week 1
Personal Credit Utilization	<10%
Balance Transfers Executed	\$50,000 at 0%
STR Property Leased	1 property secured
STR Property Live	Listed and bookable
Personal Debt Reduced	\$50K → \$44K

12-Month Success Metrics

METRIC	TARGET
Total Tax Savings (2025)	\$37,448
STR Annual Net Income	\$18,000+
Personal Debt Balance	<\$26,000

Personal Credit Score	760+
Business Credit Available	\$50,000+
Net Worth	\$412,000+

Next Steps & Action Plan

This Week (Week of November 19, 2025)

Monday, November 19

- Confirm LLC formation status
- Apply for EIN online at [IRS.gov](https://www.irs.gov)
- Research 3-4 balance transfer credit card offers

Tuesday, November 20

- Apply for 3-4 balance transfer cards online
- Schedule appointments at 2-3 banks for business accounts
- Compile documentation for business bank account opening

Wednesday, November 21

- Open business checking and savings accounts
- Order business checks and debit card
- Set up online banking and link to Monarch



Friday, November 23

- Begin STR market research across target cities
- Create comparison spreadsheet for properties
- Identify top 10 potential properties to pursue



Weekend (November 24-25)

- Complete Monarch setup: Link all accounts
- Document home office: Photos and measurements
- Review this wealth plan thoroughly
- Begin drafting landlord pitch document

Critical Deadlines



Do Not Miss These Dates

- **December 31, 2025:** STR property placed in service for 2025 tax deductions
- **March 15, 2026:** S-Corp election (Form 2553) deadline for 2025 retroactive treatment
- **April 15, 2026:** 2025 tax return filing deadline



You're Ready to Execute

This plan provides a comprehensive roadmap for the next 12-36 months. You have:

- ✓ Clear tax savings target: \$37,448 in Year 1
- ✓ Detailed implementation steps for 7 tax strategies
- ✓ Week-by-week action plan for first 60 days
- ✓ Debt elimination roadmap (18-month freedom)
- ✓ Business credit establishment system
- ✓ STR acquisition and operations guide
- ✓ Risk mitigation and contingency plans

The difference between this plan and results is execution. Start with Week 1 actions and build momentum.

Comprehensive Wealth Strategy for Abel Moreno

Prepared November 2025 | El Paso, Texas

This wealth plan is for informational and educational purposes only. It does not constitute legal, tax, or financial advice.

Consult with licensed professionals (CPA, attorney, financial advisor) before implementing any strategies.

Gross Benefit: \$60,448 | Tax Savings: \$37,448